

Belgium's fiscal clean-up still has a long way to go

More than a year ago, Belgium's federal government launched a fiscal consolidation drive. The impact is real – especially over the very long term – but it still falls short. And the energy shock risks pushing public finances further off course



Reducing the public deficit and stabilising debt are major constraints weighing on the Belgian economy. Prime Minister Bart De Wever (R) has warned of a challenging decade ahead

A bleak starting point

Starting a term with a deficit above 5% of GDP is a tough inheritance for any new government. Moreover, on a no-policy-change basis, ageing would have added around 0.2 percentage points to the deficit each year, while a higher interest-rate environment is expected to add another 0.1 points annually. In other words, much of this legislature's fiscal agenda will be about stabilising – and ultimately repairing – public finances. Prime Minister Bart De Wever has been clear about the challenge, warning of a difficult decade ahead.

In recent months, the federal government has rolled out structural reforms covering pensions, the labour market and capital taxation. Most measures are now finalised, allowing a clearer estimate of their budgetary impact in both the short and the long run. A series of publications from the National Bank of Belgium, the Federal Planning Bureau and the Public Finance Monitoring

Committee has also sharpened the picture of where public finances are headed.

The good news

The latest reports contain at least one encouraging message. The National Bank of Belgium's annual report estimates that the measures adopted will deliver net savings of around 1.1ppt of GDP by 2028. Excluding additional defence spending, savings could reach 1.6ppt. On top of that, tax revenues are expected to rise by about 0.3ppt of GDP.

On the spending side, most savings come from social benefits – particularly pensions and unemployment. On the revenue side, indirect taxes (VAT and excise duties) and wealth taxation contribute positively, although much of that gain is offset by planned cuts to taxes on earned income.

The Federal Planning Bureau also provides a detailed estimate of how pension reform affects the cost of ageing (the rise in age-related public spending). Over the long term (2024–2070), it estimates the cost of ageing would fall by 1.3 percentage points of GDP – around one-third lower than pre-reform assessments. The improvement reflects both lower spending (via changes to pension calculation) and higher GDP, as reforms lift labour supply and the number of people in work.

Taken together, these assessments suggest Belgium has, unlike some peers, implemented reforms that meaningfully improve the longer-term fiscal trajectory, even if only partially.

The bad news

But all of the analyses point to the same conclusion: the package, as it stands, is not enough to put public finances on a sustainable footing in the medium term. Under unchanged policy assumptions, the deficit worsens again from 2027 and could reach 6.2% of GDP by 2030. The Public Finance Monitoring Committee – bringing together senior officials from the Finance Ministry and Social Security, as well as representatives from the Inspectorate of Finance and the Planning Bureau – also foresees a renewed deterioration from 2029, with the deficit close to 6% of GDP by 2030.

The National Bank of Belgium estimates that a deficit of around 3% of GDP would be needed to stabilise the debt ratio. Belgium remains far from that threshold in the years ahead, not only because the primary balance is projected to settle around -2% of GDP by 2030, but also because interest costs will rise. That reflects both higher debt levels and a structurally higher interest-rate environment than in the past.

It is also worth noting that many projections assume annual growth of around 1.1%. The renewed conflict in the Middle East makes that assumption less credible in the near term. Growth is likely to come in below 1% this year (ING projection: 0.7%), which would further weaken the budget balance. Meanwhile, the rise in long-term rates since the escalation of the conflict is likely to increase debt-servicing costs, at least temporarily.

What does this mean?

One caveat is that institutional projections (National Bank of Belgium, Planning Bureau) only include measures that have been formally decided and sufficiently documented. Our baseline

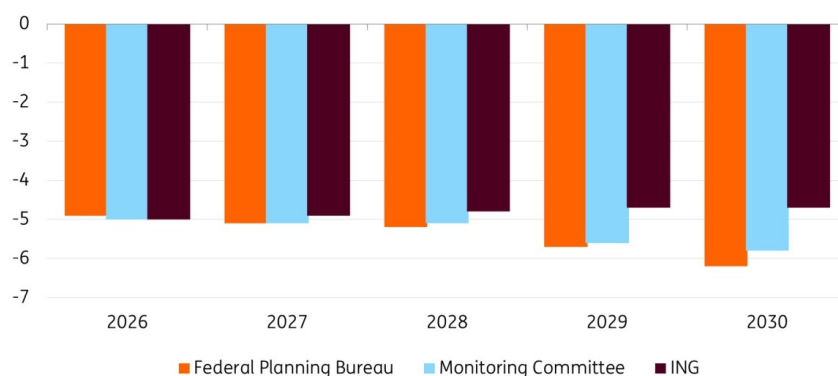
assumes additional steps later in the legislature, which would make the fiscal trajectory less bleak than the unchanged policy scenarios suggest.

However, the room for manoeuvring looks limited. Social tensions remain elevated (with repeated strikes and national days of action), and political frictions within the majority add another constraint. We therefore expect any additional measures to focus on offsetting weaker growth and keeping the deficit below 5% of GDP – likely enough to meet European Commission requirements (we mustn't forget that Belgium is still in an excessive deficit procedure). Even so, this would not stabilise the debt path, which remains a key consideration for sovereign ratings.

Moody's will update Belgium's sovereign rating today, with S&P scheduled to follow a week later. It is not clear that the good news will outweigh the bad, and the risk of a downgrade remains meaningful. Still, Moody's recent decision not to downgrade France despite budget challenges at least as severe as Belgium's argues for a status quo for now.

Comparison of public deficit projections (2026-2030)

(% of GDP)



Source: Federal Planning Bureau, Monitoring Committee, ING

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FX Daily: Equities-oil mix driving G10 divergence

Risk sentiment resilience, paired with lingering upside risks for crude prices, can keep driving outperformance of oil currencies (NOK, CAD) versus the low yielders. The yen remains in a poor position, but interventions may not be far. The dollar has recovered a bit of ground, but beyond war headlines, the upcoming Warsh hearing may emerge as a key downside risk



Between the G10 oil currencies, we currently favour the Norwegian krone given the country's stronger domestic outlook

We've just published a [new scenario analysis for oil, rates and EUR/USD](#)

➔ USD: A reminder oil prices remain volatile

The dollar recovered some ground yesterday on the back of firmer oil prices. Despite encouraging headlines around the US and Iran discussing a longer truce and a ceasefire between Israel and Lebanon, there still isn't enough clarity to justify a sustained move below the \$90 95/bbl range in Brent or above 1.1850 in EUR/USD for now. A media report also suggested that European and Gulf officials expect any US Iran deal to take around six months, despite US President Donald Trump claiming it could happen "soon".

Equities, however, remained resilient, supporting outperformance among the canonical G10 oil currencies, the Norwegian krone and the Canadian dollar. Between the two, we favour NOK, given the more supportive domestic backdrop. We expect Norges Bank to hike in May, while the Bank of Canada is likely to remain more cautious amid risks linked to USMCA renegotiations in the coming months.

The yen remains the big loser at the moment, with another speculative attempt at retesting the 160.0 intervention line ongoing. Japanese authorities let USD/JPY run to 160.4 in late March without intervening, but perhaps now the tolerance band is a bit lower given the improving geopolitical picture.

Today's US calendar is empty, and a wait and see mood may dominate ahead of the next round of US Iran talks. Federal Reserve speakers will remain in focus, although they have struggled to meaningfully steer rate expectations lately.

Kevin Warsh's hearing on 21 April is the next notable event in this respect. Interestingly, FX options show little anticipation of large moves, possibly reflecting the view that elevated inflation gives Warsh room to diverge from President Trump's dovish preferences. Still, we cannot ignore some downside risks for the dollar, especially with markets still not pricing a full rate cut by year end.

Francesco Pesole

➔ EUR: We now expect a June hike

We retain a preference not to chase EUR/USD rallies above 1.180 until there is greater clarity on a Middle East peace plan and a new regime for the Strait of Hormuz. Yesterday's rebound

For the European Central Bank, IMF week in Washington has not delivered any meaningful new guidance. Both ECB President Christine Lagarde and Joachim Nagel said that the current environment sits between the ECB's baseline and the adverse scenario – effectively between zero and one to two hikes. We [updated our ECB view](#) yesterday and now expect one hike in June followed by a prolonged hold.

Francesco Pesole

➔ GBP: Political risk returns

Sterling came under some pressure yesterday afternoon, seemingly on the back of a news story that the UK government had overruled a failed vetting of former ambassador to the US Peter Mandelson. Earlier this year, the Mandelson scandal prompted some calls for the resignation of Prime Minister Keir Starmer. This would be GBP-negative given a perception that a leadership change could herald additional borrowing and changes to the fiscal rules.

Starmer's approval rating remains very low, but the Polymarket probability of him resigning by the end of June has declined sharply from 50% to 20% since the start of the war, before rebounding to 40% yesterday. The Mendelson scandal could, however, put Starmer in a slightly more precarious position ahead of the 7 May local elections, where Labour is expected to lose a large portion of council seats to Reform UK and the Greens.

Yesterday offered an example of how the pound remains highly reactive to political noise, which reinforces our bullish bias on EUR/GBP alongside our call for no hikes by the Bank of England. We

still target 0.880 this quarter.

Francesco Pesole

➔ DKK: Larger rate hikes coming?

EUR/DKK broke above the 7.4730 mark this week. That is often seen as a line in the sand that the Danish central bank (DN) likes to defend with FX intervention, as it did in 2019-2020. While we are still talking about minuscule deviations relative to the 2.25% band set by the central bank around 7.460, this week printed the highest intraday levels since 2020.

Interestingly, DN did not intervene during the EUR/DKK rally in January, which we believe was exacerbated by the Greenland risk, nor in March when the pair traded close to 7.4730. If DN isn't intervening this month either (we'll know in early May), despite a breach of 7.4730, we'll grow more suspicious that the central bank is considering tightening the rate gap with the ECB's deposit rate, currently at 40bp.

That would naturally be a more sustainable solution to EUR/DKK upward volatility, which remains in part driven by the rate differential. A hike might happen as early as the 30 April meeting (the Danish central bank always announces on ECB day), or perhaps at the June meeting, when the ECB is also expected to hike, and DN could deliver a larger increase. So far, swap points show a low implied risk of a re-tightening of the rate spread.

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Rates Spark: Expectation management

The glass-half-full view some market segments are taking contrasts with rates' reluctance to price out hikes to the same degree. Caution concerning inflation remains warranted, and absent a notable rise in growth concerns, longer rates can still go higher



With oil prices still elevated, rates markets continue to remain concerned about inflation

Some risk assets have more than fully retraced, but rates are right to remain concerned about inflation

Markets continue to take the glass-half-full approach to the situation in the Middle East. One could easily argue that valuations start to look vulnerable here. After all, some market segments have already fully retraced the drawdowns caused by the turmoil. At the same time, the Strait of Hormuz remains effectively closed for now. As time passes and expectations are not met, real knock-on effects could start to be felt clearly – after all, economies are living off reserves. In the background are stories such as the IEA warning that European airlines have maybe six weeks before they run out of jet fuel, or the IMF again warning that the economic damage is being underestimated.

[The ECB minutes](#), meanwhile, confirmed the central bank's hawkish shift. Still, it was signalled again that there is unlikely to be enough data available at the upcoming meeting in two weeks' time to change the policy stance. Market pricing for the April meeting has continued to slide, with only 3bp of tightening now in the forward rate. With an implied probability of just over 10%, an April hike scenario has effectively been reduced to a tail risk.

Further out though, the market pricing did bounce off from a low of seeing just 50bp of tightening by year-end. For one, oil prices have moved a little higher towards US\$100/bbl again. But we also think the significance of the 50bp might rest on the 'one is none' narrative. While this is a fair assumption in the sense that you want a policy shift to be effective, our own revised base case scenario actually sees only one rate hike. Of course, this remains highly path-dependent on the energy situation, but we think it is a plausible scenario if one views the ECB's strategy through the lens of expectations management and the ECB's concerns around the credibility of its reaction function.

We think rates markets are right not to look through the inflation story as readily as some other market segments. Keep in mind that the containment of longer rates, absent a notable rise in growth concerns, is premised on the reaction function that the market is pricing on the front end. That is a delicate balance the ECB needs to manage, and also leaves the long end still prone to temporary rises.

Friday's events and market view

Despite the growing optimism in some corners of riskier asset markets, investors are still looking to the Middle East, especially ahead of the weekend.

In terms of data, the week will end on a quiet note, with the eurozone trade balance for February the only release of interest. Central bankers will still be speaking, with some focus this time on the Bank of England, with Sarah Breeden and Chief Economist Huw Pill speaking. From the Fed, Mary Daly, Thomas Barkin and Christopher Waller will be speaking. But overall, markets should already have a clearer picture of central banks' thinking after the busy communications over the past few days.

Primary markets are also quiet with no scheduled bond supply for the day. Rating agencies have pencilled in review dates for the Netherlands (S&P), Belgium and the EFSF (Moody's), as well as Italy, Slovakia and the EU (DBRS).

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Asia Week ahead: Rate decisions in China, Indonesia, Philippines and data from Japan and Korea

China, Indonesia, and the Philippines will announce interest rate decisions. Key data releases include Japan's inflation and purchasing managers' index, and South Korea's GDP



Asia Research highlights of the week

[China's growth faces pressure from reflation and a narrowing trade surplus](#)

[Energy shocks in Asia: diverging buffers, diverging growth](#)

[South Korea's solid export growth is offsetting weak domestic demand](#)

[Singapore's central bank tightens policy as inflation risks rise](#)

[China's trade surplus plummets as exports slow and imports surge](#)

China: No change expected to loan prime rates

China's loan prime rates will be set on Monday; no change is expected. Stronger-than-expected first-quarter GDP data, combined with the recent reflationary trends, may keep the People's Bank of China on hold until conditions warrant monetary policy support.

Taiwan: Strength expected in upcoming output data

Taiwan releases its export orders on Tuesday. We expect orders to rebound to 48.1% year-on-year in March. Industrial production data will be released on Friday, when we're looking for a rebound to 25.7% YoY.

Philippines: BSP to hold rates amid weaker growth

The Philippines remains one of the most oil exposed economies in the region, prompting us to downgrade our 2026 GDP growth forecast to 4.5%. Against this weaker growth backdrop—and assuming the current geopolitical escalation eases in the near term—our base case is for the central bank to remain on hold in April. However, Thursday's decision is likely to be close. CPI inflation rose above Bangko Sentral ng Pilipinas' target, and policymakers have consistently emphasised inflation stability as the primary anchor of its monetary policy framework.

Indonesia: BI to keep rates steady

While Indonesia's fuel subsidies continue to cap the pass-through from higher oil prices, inflation is still expected to exceed Bank Indonesia's 2.5% target. At around 3.5%, CPI would remain well below the 2022 peak of about 5% that triggered aggressive rate hikes. With growth softening, BI is unlikely to hike rates. It's expected to remain on hold on Wednesday.

South Korea: GDP to show growth amid robust chip exports

South Korea's first quarter GDP is expected to rise by 1.0% quarter-on-quarter, seasonally-adjusted, following a 0.2% contraction in the fourth quarter of 2025. Robust exports, mostly driven by chips, should be the main driver of growth. The oil disruptions should have a limited impact on trade and manufacturing activity, at least in the January-March period. Household and government spending are expected to rise modestly amid the healthy first two months of data. For investment, facility investment should rebound thanks to expansion in chip production lines, while construction investment remains sluggish.

Japan: Strong growth and modest inflation expected

In line with trends observed in other major Asian countries, we anticipate strong Japanese export growth in March. Oil supply constraints are unlikely to pose any significant drag before the end of March, while continued strong external demand for semiconductors and IT products should further bolster export performance. The Flash PMI is projected to decline, particularly as manufacturing figures fall below 50. The ongoing conflict in the Middle East may increase pressure on several manufacturers. However, the service PMI is likely to remain positive. CPI inflation is forecast to remain largely unaffected by elevated global energy prices during March. Government efforts to stabilise gasoline prices should limit the monthly increase to only a modest rise. Both headline and core inflation rates are expected to remain below 2%.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 20 April				
China	0915 Apr	Loan Prime Rate 1Y	3	3
	0915 Apr	Loan Prime Rate 5Y	3,5	3,5
Tuesday 21 April				
Taiwan	1600 Mar	Export Orders (YoY%)	48,1	23,8
Wednesday 22 April				
Japan	0750 Mar	Exports (YoY%)	11	4,2
	0750 Mar	Imports (YoY%)	7	10,2
	0750 Mar	Trade Balance (JPY bn)	1000	44,3
South Korea	0500 Mar	PPI (MoM%/YoY%)	1.0/3.4	0.6/2.4
Indonesia	1530 Apr	Interest Rate Decision	4,75	4,75
Thursday 23 April				
Australia	0700 Apr	S&P Manufacturing PMI Flash	-	49,8
	0700 Apr	S&P Services PMI Flash	-	46,3
Japan	0700 Apr	S&P Composite PMI Flash	-	46,6
	0830 Apr	S&P Manufacturing PMI Flash	49,5	51,6
	0830 Apr	S&P Services PMI Flash	53	53,4
India	0830 Apr	S&P Composite PMI Flash	52	53
	1300 Apr	HSBC Manufacturing PMI Flash	-	53,9
	1300 Apr	HSBC Services PMI Flash	-	57,5
South Korea	1300 Apr	HSBC Composite PMI Flash	-	57
	0500 Apr	BoK Consumer Sentiment Index	105	107
	0700 Q1	GDP Growth Advance (QoQ%/YoY%)	1.0/2.8	-0.2/1.6
Indonesia	1100 Mar	M2 Money Supply (YoY%)	-	8,7
Philippines	1430 Apr	Interest Rate Decision	4,25	4,25
Singapore	1600 Mar	Budget Balance (PHP bn)	-	-171,2
	1300 Mar	Core CPI (YoY%)	-	1,4
	1300 Mar	CPI (MoM%/YoY%)	-	0.6/1.2
Taiwan	1600 Mar	Industrial Output (YoY%)	25,7	17,8
	1600 Mar	Unemployment Rate	-	3,3
	1620 Mar	Money Supply - M2 (YoY%)	-	5,4
Friday 24 April				
Japan	0730 Mar	CPI (MoM%/YoY%)	0.4/1.4	-0.6/1.3

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Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies



With the world in flux, certainty is a rare commodity

Three scenarios for energy prices

	Length of disruption (% disruption to Strait of Hormuz flows)	Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
			Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	100 60 30 15 10 10 Mar Apr May Jun Jul Aug	1138	96	93	88	28	55	45	45
Prolonged disruption 2	100 100 50 40 20 20 Mar Apr May Jun Jul Aug	1754	110	102	100	38	74	60	60
Re-escalation 3	100 100 100 100 50 50 Mar Apr May Jun Jul Aug	3635	135	150	120	58	90	75	80

Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US\$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US\$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US\$150/bbl in the third quarter.

Central banks

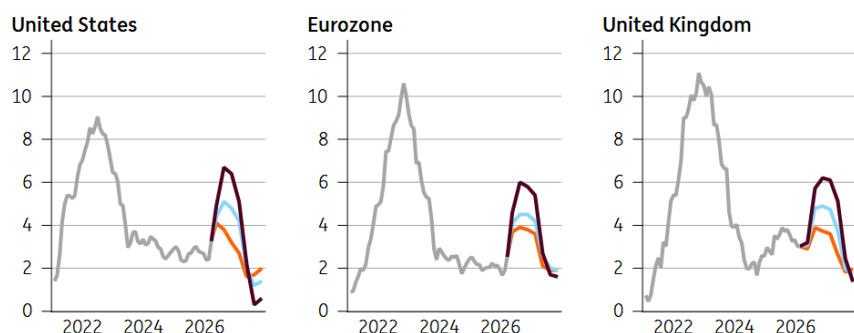
Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

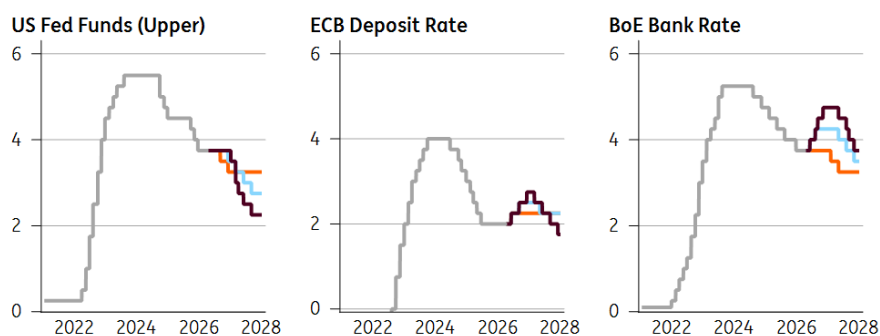
In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation

Inflation (YoY%)



Central banks



Source: Macrobond, ING

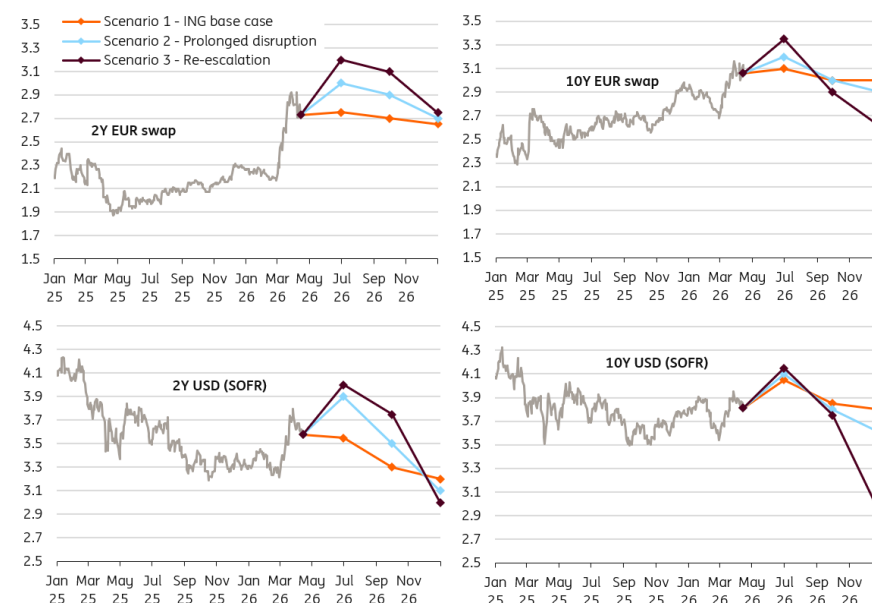
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

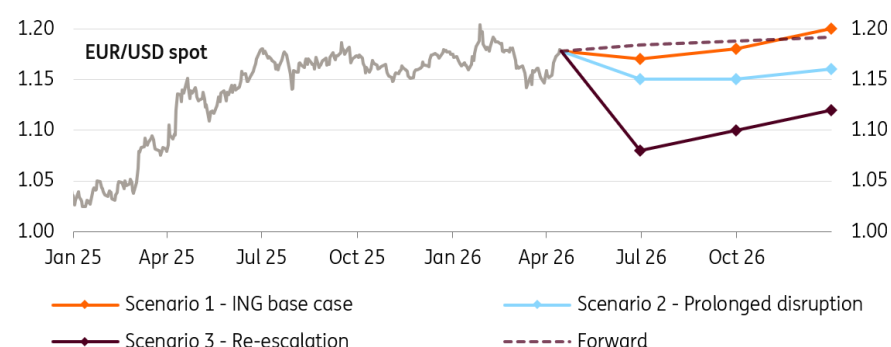
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US\$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	① Base case			② Prolonged disruption			③ Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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Middle East escalation pushes aluminium into a structural deficit

Escalating supply disruptions across Gulf smelters have shifted the aluminium market from a logistics shock into a significant deficit, with limited near-term recovery and risks skewed to the upside



The aluminium market has moved into a significant deficit following further escalation in the Middle East

Supply shock deepens as Gulf smelters cut output

The aluminium market has moved into a significant deficit following further escalation in the Middle East. What initially appeared as a disruption to shipping and logistics has now evolved into a material supply shock, with multiple Gulf smelters operating well below capacity.

Recent developments include the halt of operations at Emirates Global Aluminium's Al Taweelah smelter, a sharp reduction in output at Aluminium Bahrain (Alba), and continued reduced operating rates at Qatalum.

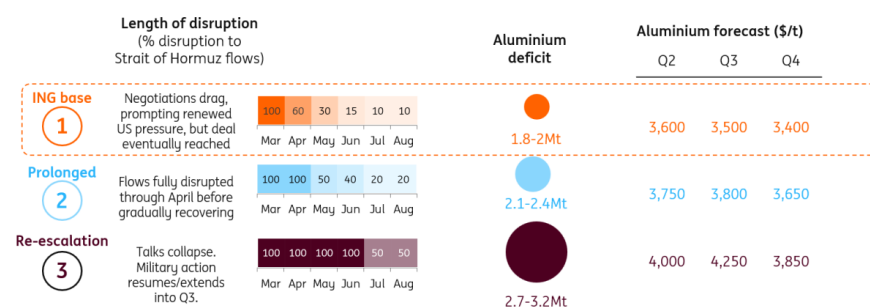
While the Middle East accounts for roughly 9% of global aluminium production, it represents a much larger share of seaborne supply. As a result, disruptions in the region have a significant impact on market availability and pricing.

Disruptions have intensified significantly since [our previous note](#). In mid-March, we estimated that around 560kt of annual capacity was affected, including roughly 300kt at Alba and 260kt at

Qatalum. With Alba now operating at around 30% of capacity and Qatalum at roughly 60%, the implied affected capacity has risen to around 3Mt – nearly half of the region’s production.

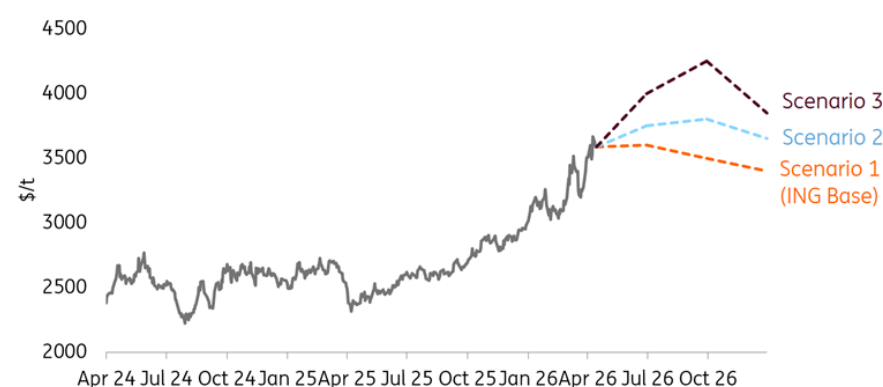
Based on current operating rates, the aluminium market would be in a deficit of close to 2.9Mt if disruptions persisted through the remainder of the year. However, at elevated prices, we expect demand destruction, destocking and a partial supply response from China to offset part of the supply shock, resulting in a base case deficit of around 2Mt.

Revised aluminium balance and price scenarios



Source: ING Research estimates

Prolonged disruption could push aluminium towards \$4,000/t



Source: Refinitiv, ING Research

Note: Price forecasts are period averages

Base case: disruption largely priced

In our base case, disruption peaks early and gradually eases through the year, in line with our [energy market outlook](#). While supply remains constrained, a combination of demand destruction, inventory drawdowns and increased Chinese supply is expected to limit further upside.

As a result, aluminium prices remain elevated but do not extend materially higher from current levels.

Risks skewed to the upside

If disruption persists or intensifies, supply recovery is likely to remain limited. Additional smelter curtailments could emerge, particularly as existing constraints on alumina supply deepen and logistics disruptions continue.

Under these conditions, aluminium prices could move above \$4,000/t, although demand destruction would likely lead to some retracement in the second half of the year, even as the market remains structurally tight.

Structural deficit in place

The aluminium market has already shifted into a significant deficit following recent supply disruptions. While some recovery is expected in our base case, the balance remains tight, with limited downside and clear upside risks under prolonged or severe disruption scenarios.

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Webinar: Energy security under strain - why cutting Europe's gas dependency won't be easy

Join our live webinar this Friday 17 April as ING's Gerben Hieminga and Nadège Tillier discuss how the conflict in the Middle East is once again exposing Europe's gas dependence and the hard choices that lie ahead. [Sign up here](#)



Against a backdrop of renewed conflict in the Middle East, markets are again grappling with energy security risks. Iran remains in control of the Strait of Hormuz, and Europe, despite the lessons of 2022, still imports around 70% of its gas. This raises a pressing question: how exposed is Europe if this crisis continues, and what can realistically be done about it?

[Join ING's experts as they discuss:](#)

- Europe's current level of dependence on imported gas
- The short term levers to ease supply risks
- Why longer term solutions – from renewables to nuclear – are harder than they look
- What business leaders should prioritise now

Speakers

Gerben Hieminga, Senior Sector Economist, Energy

Nadège Tillier, Head of Corporate Sector Strategy

Hosted by Rebecca Byrne, Deputy Global Head of Editorial

Details

Date: Friday, 17 April

Time: 1130 BST/1230 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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US inflation much more likely to be transitory this time around

Gasoline price hikes prompted a jump in headline inflation, but core pressures were more benign than feared. We have much greater confidence that inflation will be transitory this time around, given the lack of demand impetus and weaker corporate pricing power versus 2022



US CPI for March rose on higher gasoline prices, but we do think higher inflation will be transitory

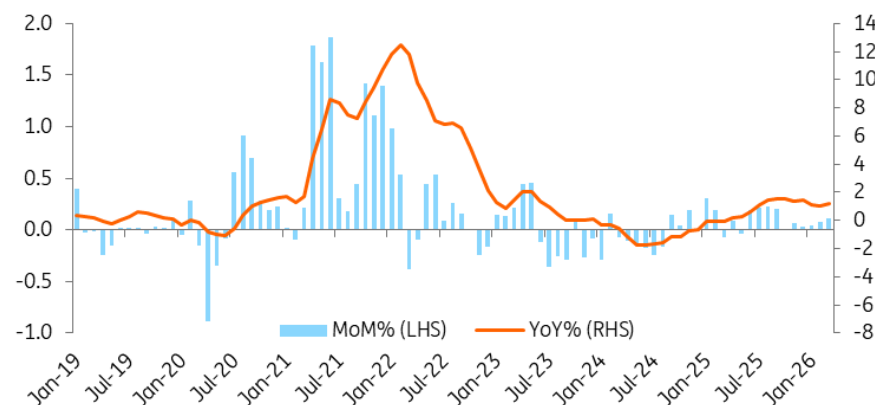
Gasoline prompts an inflation jump, but core pressures were softer than feared

US headline CPI showed prices rising 0.9% month-on-month in March, as expected by the market, with a 21.2% MoM jump in gasoline prices contributing the bulk of upside impetus. Airline fares rose 2.7% MoM and apparel prices rose 1%. However, excluding food and energy, inflation was softer than feared, rising only 0.2% MoM/2.6% YoY versus expectations of a 0.3%/2.7% outcome. This was thanks largely to a 0.4% drop in used car prices, a 0.2% decline in medical care and a 0.4% decline in "other goods & services". Housing costs, the single biggest component by weight, rose 0.3%.

The economy has handled tariffs well, with limited goods price inflation. Core goods prices (ex-food

and energy), remain benign, rising just 1.2% year-on-year. Instead, the tariff cost is largely being borne by the US corporate sector – next week's import prices will show another monthly rise, indicating foreign producers are not “paying” the tariffs.

Core goods price inflation



Source: Macrobond, ING

“Transitory” inflation far more likely this time

While the rise in energy costs will push the annual inflation rate even higher over the next few months, we don't expect a repeat of 2021/22 when the Fed called inflation pressures “transitory” only to then hike rates 525bp as inflation got within touching distance of 10%.

The supply shock this time around is arguably far smaller, focused in the US' case on gasoline and other fuel costs rather than *all goods* AND energy in the wake of pandemic-dislocated global supply chains. More importantly, there isn't the demand impetus this time around to generate broad and persistent inflation. 2022 saw 4.5mn jobs added, wage growth touching 6%, significant pent-up demand, record savings levels and stimulus checks. This time we have a much cooler jobs market with wage growth closer to 3%, weaker confidence and flat-lining real household disposable income.

Rising fuel costs likely to be demand destructive

Fuel price hikes are more likely to be demand destructive, via reduced discretionary spending power. This point was underlined by yesterday's personal income and spending report, which showed real household disposable incomes were flatlining before the Middle East conflict. We are likely to see this turning negative in coming months. Furthermore, if we see a successful outcome for the US-Iran negotiations and the flow of oil and gas starts to trickle out before coming more of a proper flow through the second half of the year, lower energy costs could possibly drive inflation below 2% at some point next year. As such, we still think interest rate cuts are more likely than hikes, especially given the Fed's dual mandate (price stability AND Maximum employment).

What would change our Fed view? If inflation expectations were to start rising and wage demands pick up, but right now both market and consumer long-term inflation expectations appear anchored and there continues to be more unemployed Americans than there are job vacancies – remember back in 2022 there were two job vacancies to every unemployed American. This highlights how the demand-supply balance has shifted within the jobs market and explains why we think second-round price effects will be far more muted this time relative to the post-pandemic

inflation shock.

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Watch: How the energy shock is hammering Europe's construction industry

Europe's construction industry finds itself at the mercy of the sharp rises in oil and gas prices we've seen since the start of the war in the Middle East. ING's Maurice van Sante says we're seeing the strongest price rise expectations since the 2022 energy crisis.

There's more on Maurice's findings [here](#)



How the energy shock is hammering the construction industry

Oil and gas prices may have come down since the apparent ceasefire in the Middle East, but still-elevated levels are really bad news for Europe's construction industry. Materials such as cement, concrete, and bricks are highly energy-intensive to produce. We're already seeing that pressure add up; nearly a fifth of European building manufacturers said last month they would increase their prices. That's the highest reading in three years. Some countries are more exposed than others, notably the Netherlands and Spain, where producers are more reliant on gas. And all this comes at a time when the construction industry was just seeing a turnaround in its fortunes.

[Watch video](#)

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How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders



Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to

come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

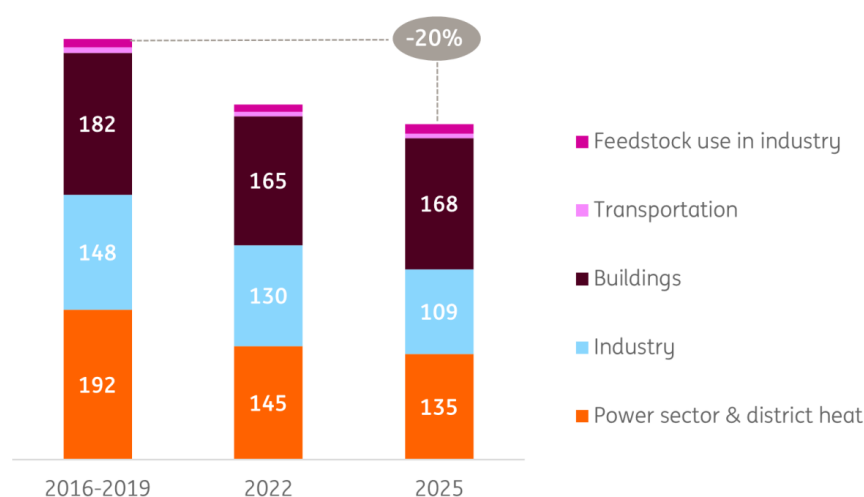
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of “greening” buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector **lost** 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, “greener” capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

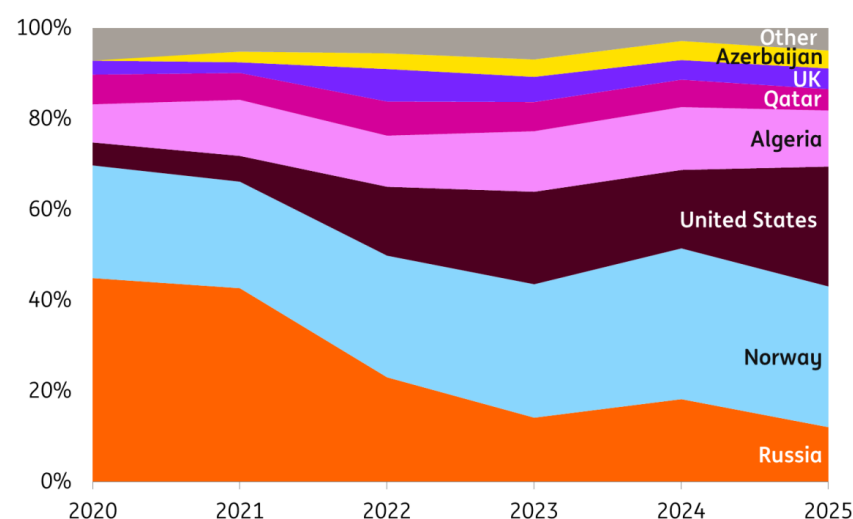
Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US

liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal's share in Europe's power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

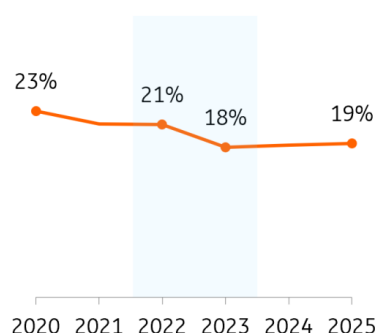
Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

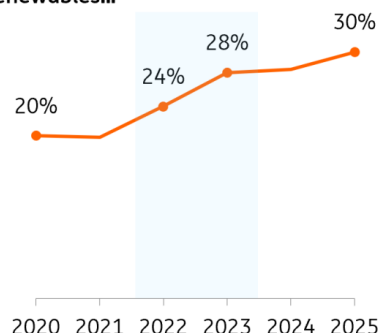
Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)

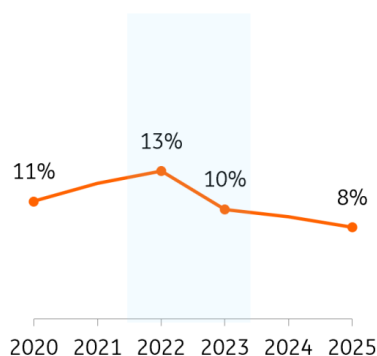
Reduction in gas dependence...



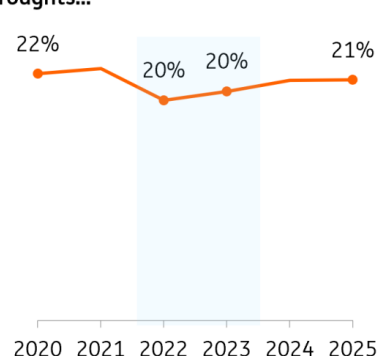
...was followed by a sharp increase in renewables...



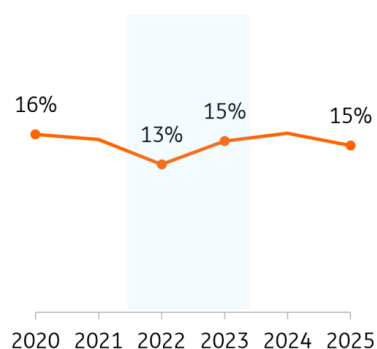
...and a short lived increase in coal...



...while hydropower was lower due to droughts...



...and nuclear power due to outages.



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are

queued for grid access.

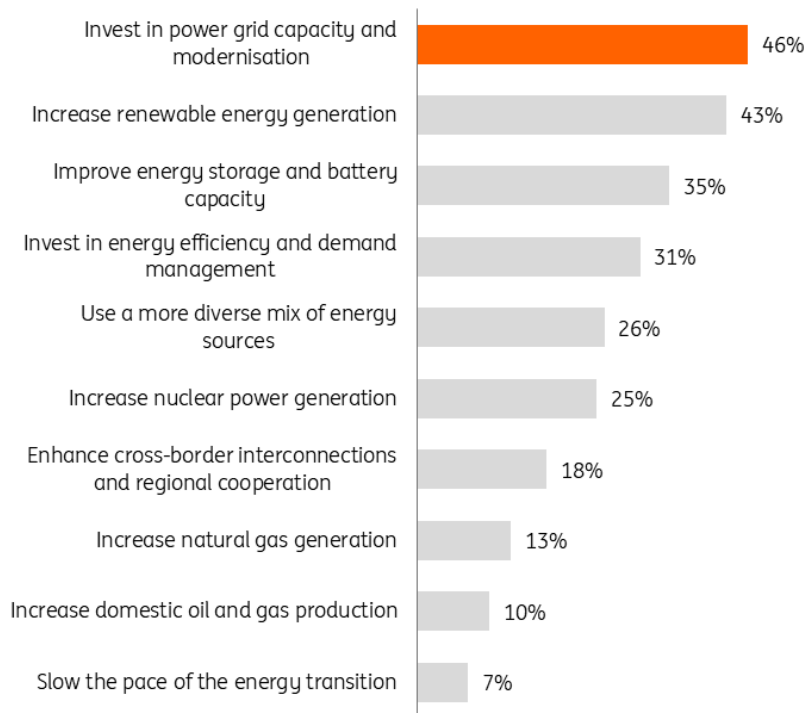
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for

business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

In Denmark, biogas now supplies 40% of the country's gas demand

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO₂ than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe's ambitious long-term strategy

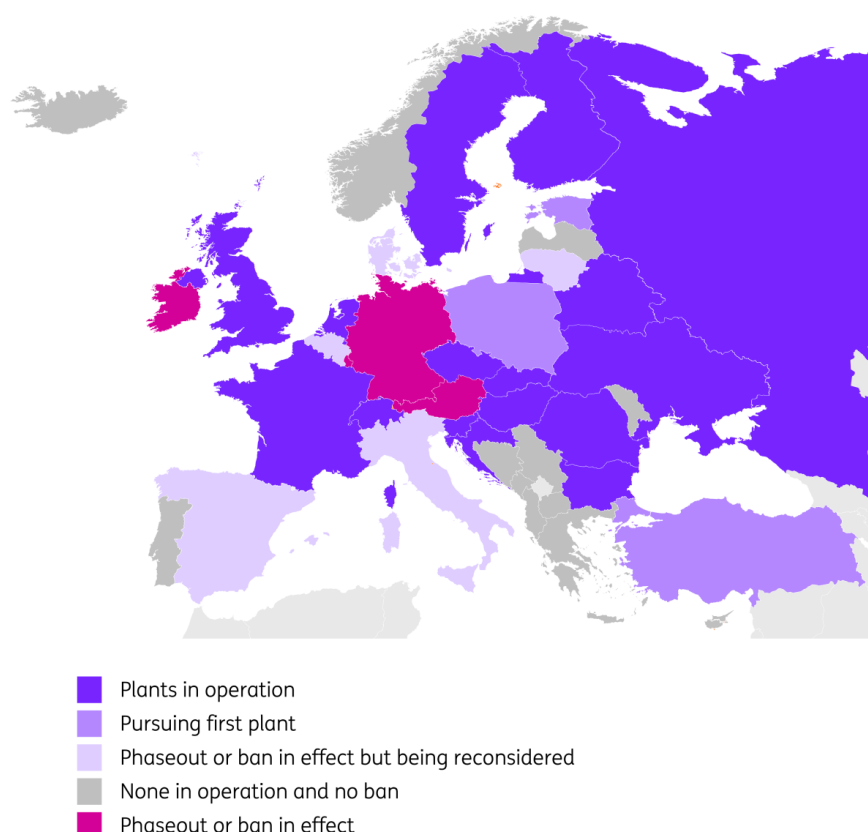
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today's crisis. Just like the 1973–74 oil crisis spurred France's large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe's shift away from nuclear energy following the Fukushima disaster – most notably Germany's abrupt phase-out – was “a strategic mistake.”

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe's future energy landscape.

Europe's evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate



One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on

the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

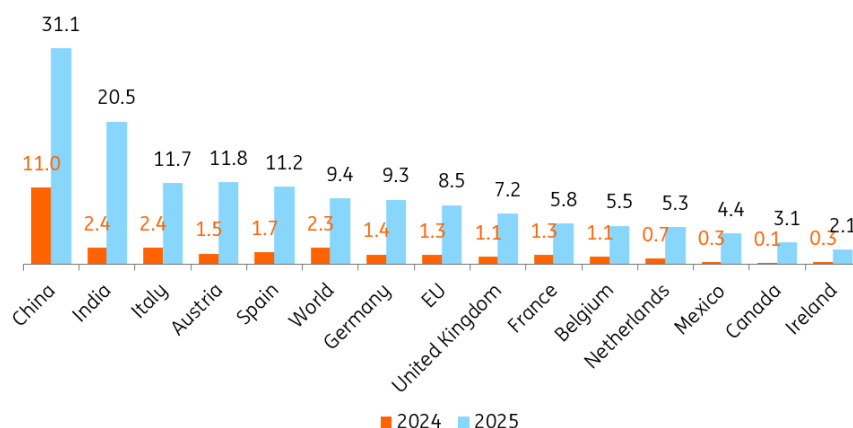
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

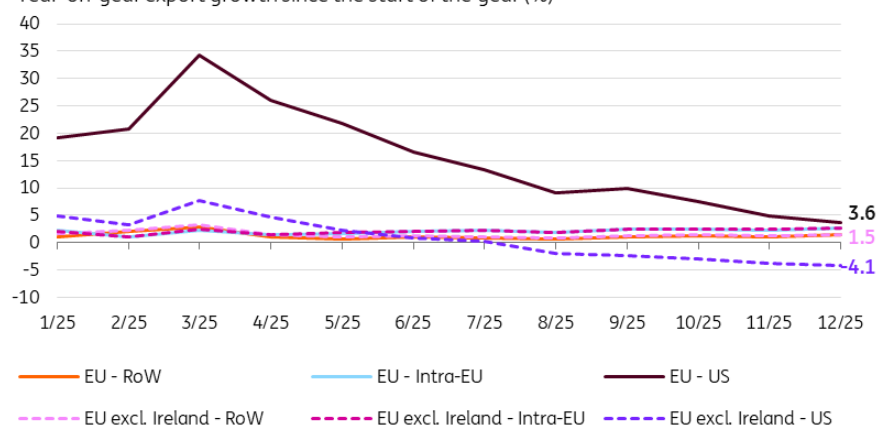
EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect

EU export in 2025

Year-on-year export growth since the start of the year (%)



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

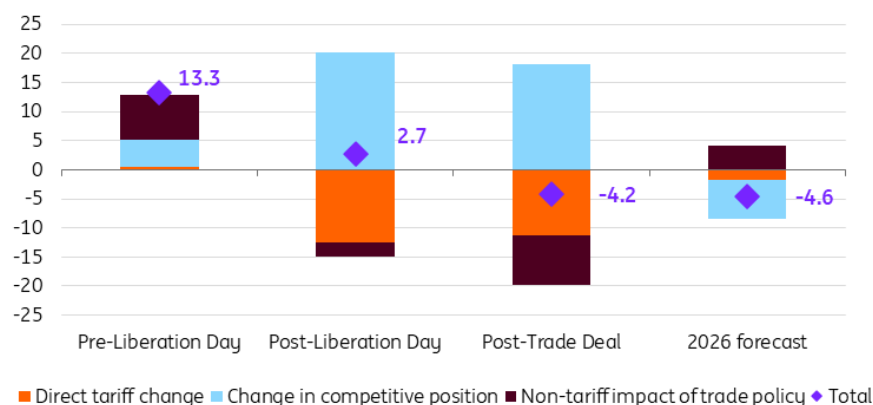
1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU↔US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US

Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline

numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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